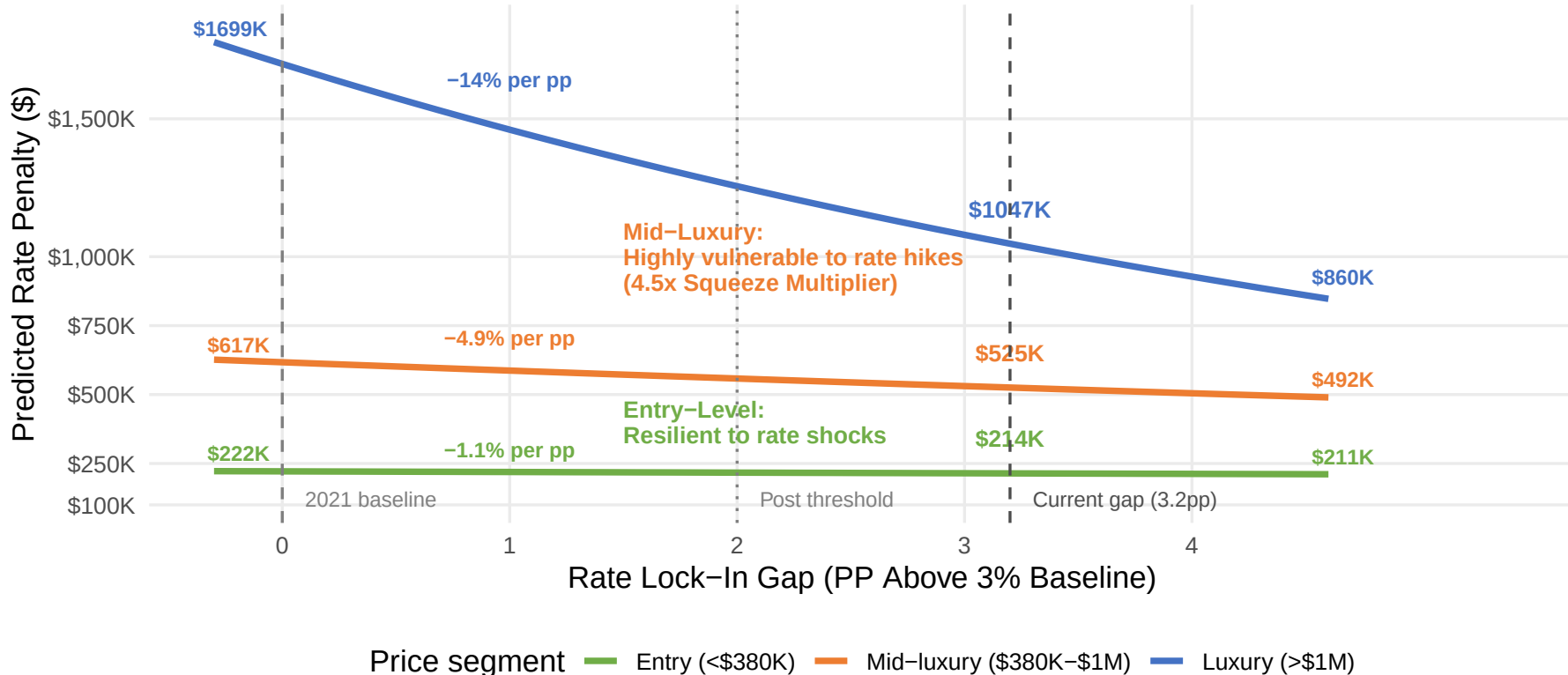


The Rate Penalty: Mid-Luxury Market Bears the Brunt of Rate Hikes

Entry-level buyers remain insulated, while mid-luxury properties face severe price degradation | N = 269,992 transactions



Source: STATS Indiana SDF deed records.

N = 269,992 transactions after regression filters (matched to FRED rate, sale price >\$50,000).

luxury slope (-14%/pp) reflects thin market volatility, not behavioral rate sensitivity (~192 transactions/county/year). At 4.5pp gap = 7.5% mortgage rate (observed late 2023).

Dashed line at 3.1pp = current rate gap at time of study.